

2c. Content of Component 1: Microeconomics (H060/01)

Component 1 of our Economics AS qualification focuses on microeconomics. From a base of microeconomic theory, this component enables learners to discuss and evaluate how well microeconomic theories explain our observations of economic agents in the real world. The theoretical workings of the free market provide a useful starting point for explanation and analysis. Imperfections and market failures provide a lead into a discussion of the merits and drawbacks of government intervention. The study of microeconomics encourages learners to consider the usefulness of theory in explaining observations taken from the real world of economics.

Area of Study	Topic	Learners should be able to:
Scarcity and choice	The basic economic problem	• distinguish between economic goods and free goods • explain what is meant by the basic 'economic problem' • evaluate the implications of the basic 'economic problem' • distinguish between normative and positive statements • distinguish between 'needs' and 'wants' • explain what is meant by scarcity • evaluate, using examples, the problem of scarcity and the requirement to make choices • explain, using examples, the impact of sustainability on scarcity and choice • explain the role of economic agents: ○ government ○ firms ○ households • explain the nature and role of the different factors of production as economic resources • explain the rewards to the factors of production.
	Opportunity cost	• explain the concept of opportunity cost • explain what is meant by a trade-off • explain what is meant by a production possibility curve/frontier (PPC/F) • explain the factors causing a PPC/F to shift • explain how PPC/F can be used to illustrate

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Scarcity and choice	Opportunity cost	scarcity, choice, opportunity cost and productive efficiency • evaluate the usefulness of the concept of opportunity cost.
	Specialisation and trade	• explain what is meant by specialisation and the division of labour • evaluate the role of specialisation and the division of labour in addressing the problem of scarcity • explain how specialisation encourages trade and exchange in an economy • explain how money facilitates trade and exchange compared to barter systems.
How competitive markets work	Allocation of resources	• explain what is meant by resource allocation • explain the impact of incentives on the behaviour of economic agents and resource allocation • evaluate the effectiveness of incentives on the behaviour of economic agents and resource allocation • explain how market, planned and mixed economies allocate resources • evaluate the advantages and disadvantages of different types of economy in allocating resources.
	The objectives of economic agents	• explain, using examples, what is meant by maximisation • identify possible objectives of economic agents • evaluate the different objectives of the economic agents in an economy.
	Supply and demand and the interaction of markets	• explain what is meant by a market and sub-markets • explain the relationship between individual and market demand • explain what is meant by derived, joint, composite and competitive demand • explain, with the aid of a diagram, the difference between a movement along the demand curve (extension/contraction) and a shift of the demand curve (increase/decrease) • explain the factors which cause a shift of the demand curve • explain, with the aid of a diagram, what is meant by consumer surplus • explain and calculate how changes in price affect consumer surplus • evaluate the impact of changes in price on consumer surplus • explain the relationship between individual supply and market supply • explain what is meant by joint, composite and competitive supply • explain the relationship between price and quantity supplied

Area of Study	Topic	Learners should be able to:
How competitive markets work	Supply and demand and the interaction of markets	• explain, with the aid of a diagram, the difference between a movement along the supply curve (extension/contraction) and a shift of the supply curve (increase/decrease) • explain the factors which cause a shift of the supply curve • explain, with the aid of a diagram, what is meant by producer surplus • explain and calculate how changes in price affect producer surplus • evaluate the impact of changes in price on producer surplus • explain, with the aid of a diagram, how demand and supply interact to produce market equilibrium in product markets, financial markets and the markets for factors of production • evaluate the impact of changes in demand and/or supply in one market on a related market(s) • explain the causes and consequences of disequilibrium in a market • explain, with the aid of a diagram, how changes in the factors affecting supply and demand will impact on equilibrium price and quantity in moving from an initial equilibrium to a new equilibrium • explain, with the aid of a diagram, why the price and output of some goods and services may be volatile • evaluate, with the aid of a diagram, the usefulness of demand and supply in analysing markets, such as commodities, housing and transport.
	Elasticity	• explain what is meant by elasticity • explain what is meant by price elasticity of demand (PED) • calculate PED using point elasticity • explain, with the aid of a diagram, the different values of PED • explain why price elasticity of demand varies along a straight line demand curve • explain, with the aid of a diagram, the relationship between PED and a firm's total revenue • evaluate the factors which determine the degree of PED • evaluate the effect of PED on the impact of an indirect tax and of a subsidy • explain what is meant by income elasticity of demand (YED) • calculate YED • evaluate the significance of the numerical value and sign of YED • explain the difference in YED of inferior, normal and superior goods • explain what is meant by cross elasticity of demand (XED) • calculate XED

Area of Study	Topic	Learners should be able to:
How competitive markets work	Elasticity	• evaluate the significance of the numerical value and sign of XED • explain the difference in XED of substitute, complementary and non-related goods • explain what is meant by price elasticity of supply (PES) • calculate PES using point elasticity • explain, with the aid of a diagram, the different values of PES • evaluate the factors which determine the degree of price elasticity of supply • evaluate the usefulness of and significance of PED, YED, XED and PES to all economic agents.
	Productive and allocative efficiency	• explain what is meant by productive efficiency • explain what is meant by allocative efficiency • explain what is meant by economic efficiency • evaluate the benefits of productive, allocative and economic efficiency.
	Costs and revenue	• explain what is meant by: ◦ total cost (TC), total fixed cost (TFC), total variable cost (TVC), average cost/average total cost (AC/ATC), average fixed cost (AFC), average variable cost (AVC), marginal cost (MC) • calculate: TC, TFC, TVC, AC (ATC), AFC, AVC, MC.